Big Six mortgage credit risk

Residential mortgages by IFRS 9 stage, from OSFI return E3.

Bank: All

Product: Residential mortgages

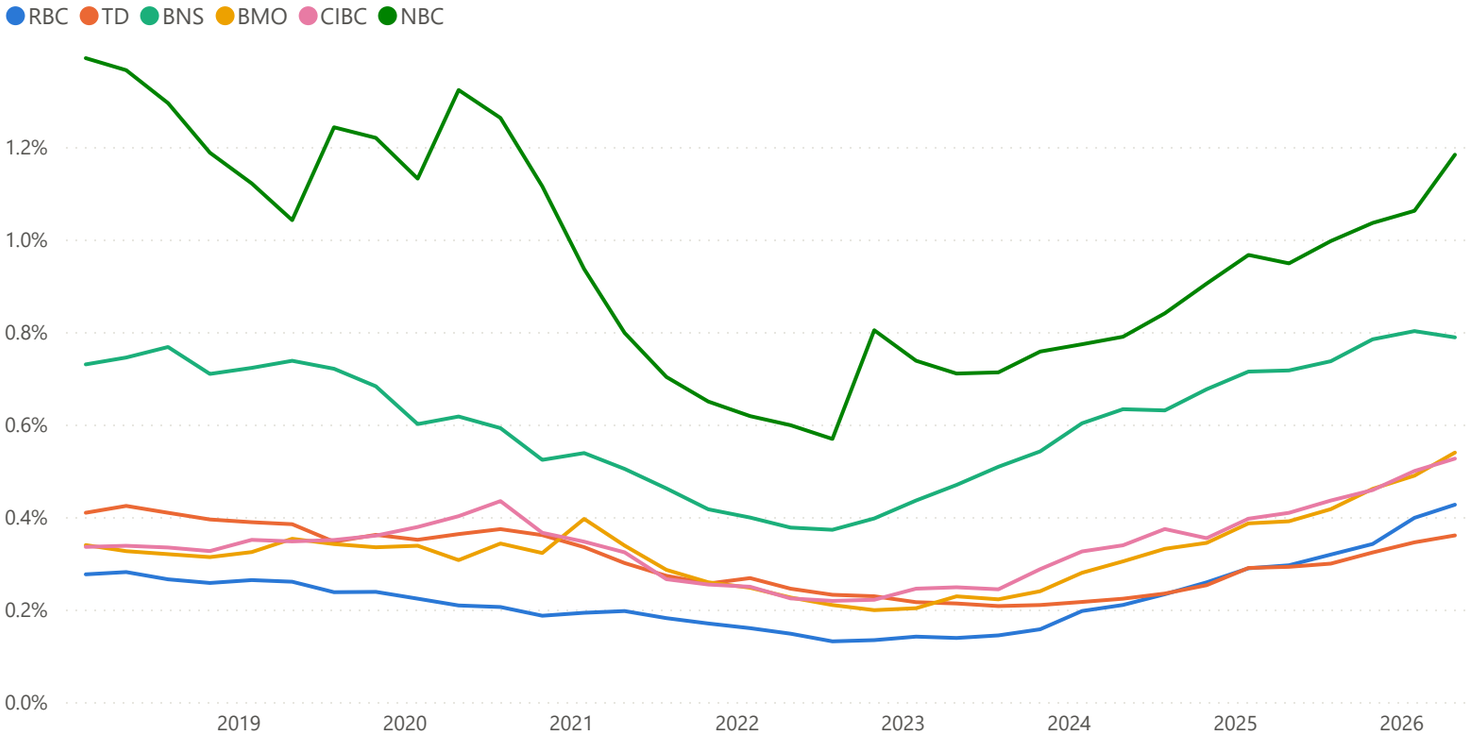
Insurance: All

Q2 FY2026 · quarter ended Apr 30, 2026

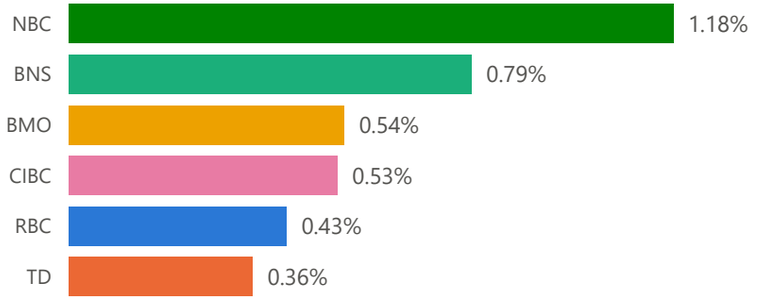
$1.79T	5.75%	0.57%	$3.90bn	21.8
Gross exposure	Stage 2 share	Stage 3 share (impaired)	Allowance (expected credit loss)	Allowance coverage, basis points
+1.5% vs. a year earlier	-0.91 pp vs. a year earlier	+0.12 pp vs. a year earlier	+10.9% vs. a year earlier	+1.9 bp vs. a year earlier

Stage 3 (credit-impaired) share by bank, each fiscal quarter

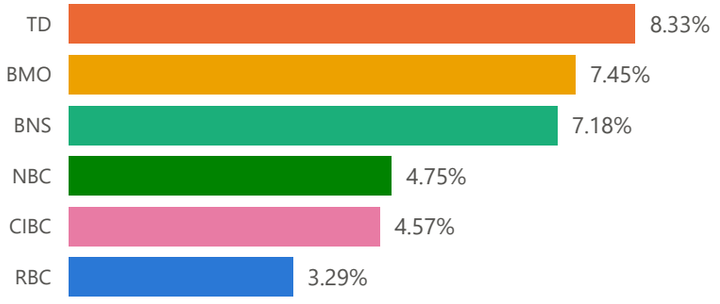
Bottomed in 2022-23 at every bank and has risen since



Stage 3 share, latest quarter



Stage 2 share, latest quarter



Metric explorer

Pick a credit metric, then compare banks over time. Ratios are computed from the summed balances.

Metric

- (●) Stage 3 share
- ( ) Stage 2 share
- ( ) Allowance coverage
- ( ) Stage 1 coverage
- ( ) Stage 2 coverage
- ( ) Stage 3 coverage

Bank

- [ ] RBC
- [ ] TD
- [ ] BNS
- [ ] BMO
- [ ] CIBC
- [ ] NBC

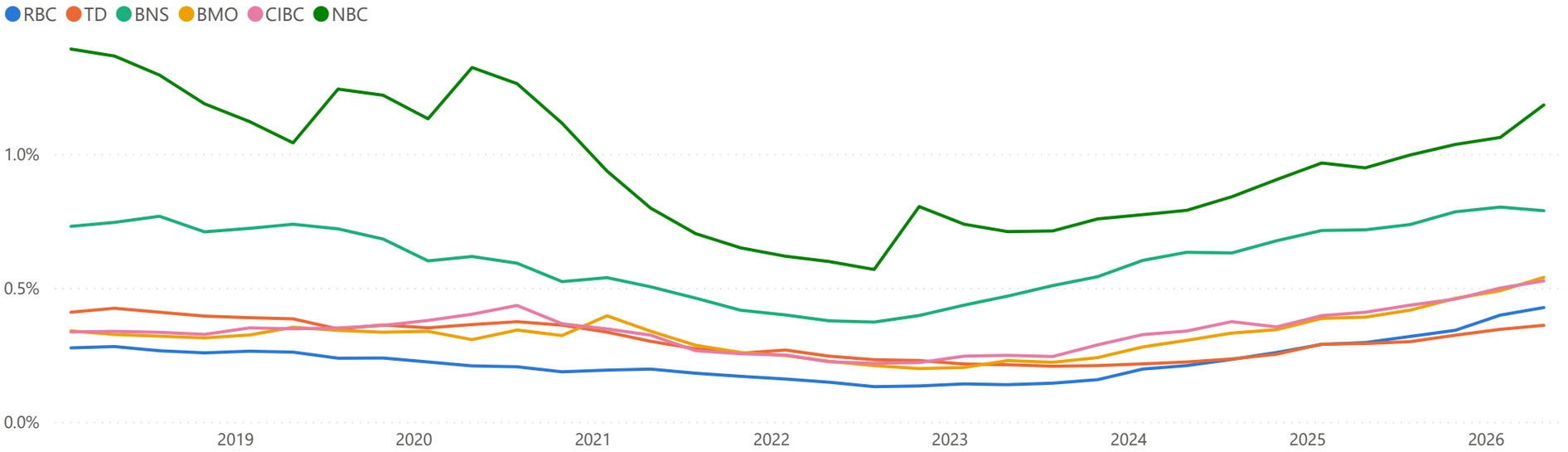
Product

Residential mortgages

Insurance

All

Stage 3 share, residential mortgages, by bank

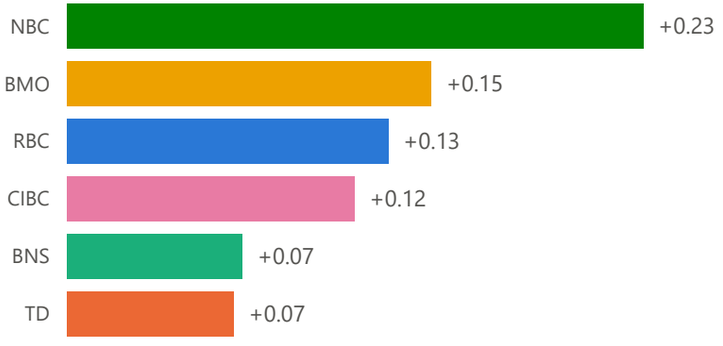


Last reported quarter of each fiscal year

Fiscal years end in October; fiscal 2026 shows Q2 (April 2026)

Bank	2018	2019	2020	2021	2022	2023	2024	2025	2026
RBC	0.26%	0.24%	0.19%	0.17%	0.13%	0.16%	0.26%	0.34%	0.43%
TD	0.39%	0.36%	0.36%	0.26%	0.23%	0.21%	0.25%	0.32%	0.36%
BNS	0.71%	0.68%	0.52%	0.42%	0.40%	0.54%	0.68%	0.78%	0.79%
BMO	0.31%	0.33%	0.32%	0.26%	0.20%	0.24%	0.34%	0.46%	0.54%
CIBC	0.33%	0.36%	0.37%	0.25%	0.22%	0.29%	0.35%	0.46%	0.53%
NBC	1.19%	1.22%	1.11%	0.65%	0.80%	0.76%	0.90%	1.04%	1.18%

Change vs. a year earlier, percentage points



What is driving the allowance

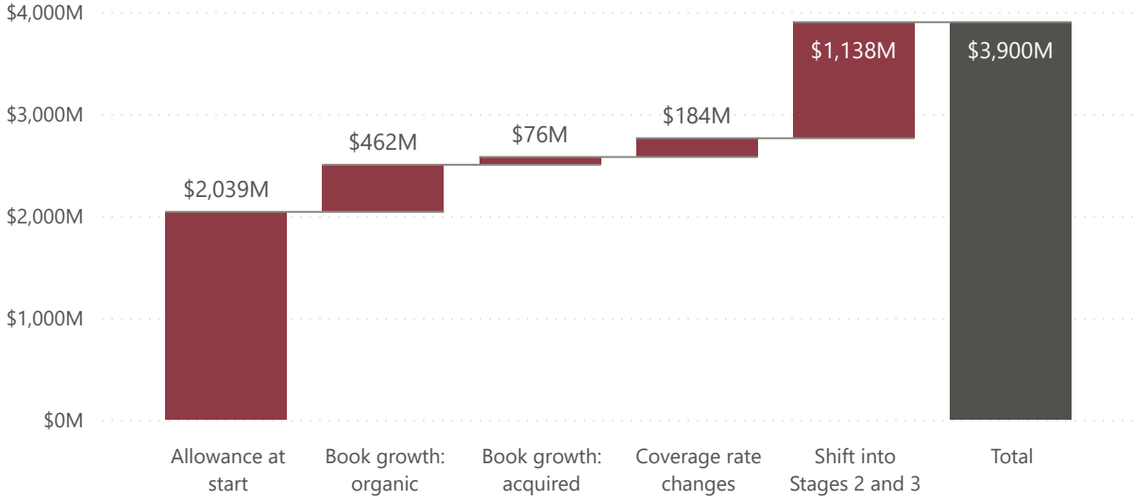
Bridge bank

All

Residential mortgages. The bank slicer only drives the bridge; leave it empty for the Big Six combined.

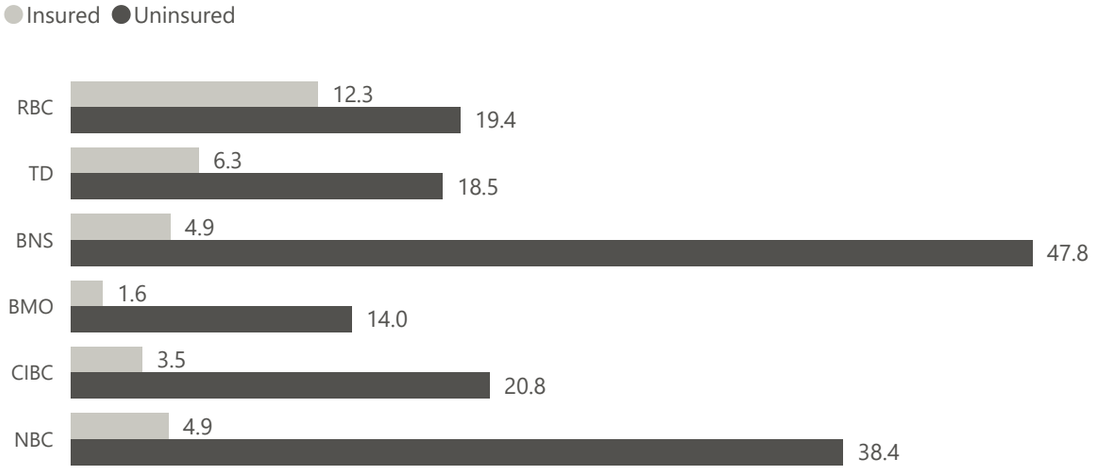
What moved the mortgage allowance, Big Six, Jan 2022 to Apr 2026

Shapley decomposition from the Python analysis. Total = allowance at the end.

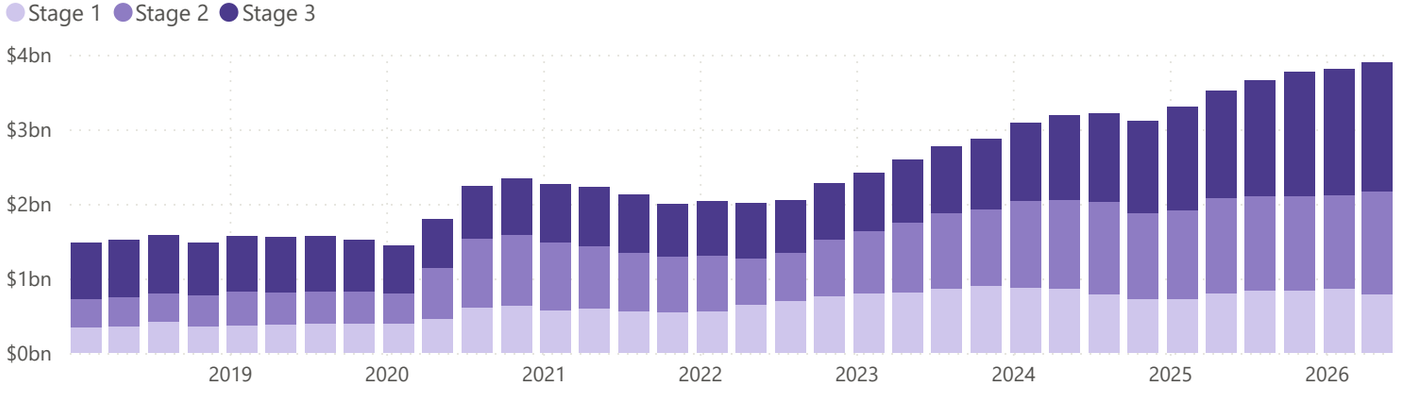


Allowance coverage, insured vs. uninsured mortgages (basis points)

Latest quarter. Default insurance moves most of the loss risk to the insurer



Allowance by IFRS 9 stage, each fiscal quarter



What if this share of the book left Stage 1?

1% of the book

Bank	Extra allowance if to Stage 2	% of allowance	If to Stage 3, %
RBC	$91.4M	10.1%	99.1%
TD	$31.0M	6.0%	54.7%
BNS	$56.3M	3.9%	73.4%
BMO	$19.6M	8.9%	18.1%
CIBC	$35.4M	6.7%	92.9%
NBC	$13.2M	4.6%	36.1%
Total	**$232.0M**	**5.9%**	**77.9%**

Mortgage book: growth, insurance and acquisitions

Monthly M4 balances, net of allowance. Organic growth excludes the acquired HSBC Canada and Canadian Western Bank books for 12 months.

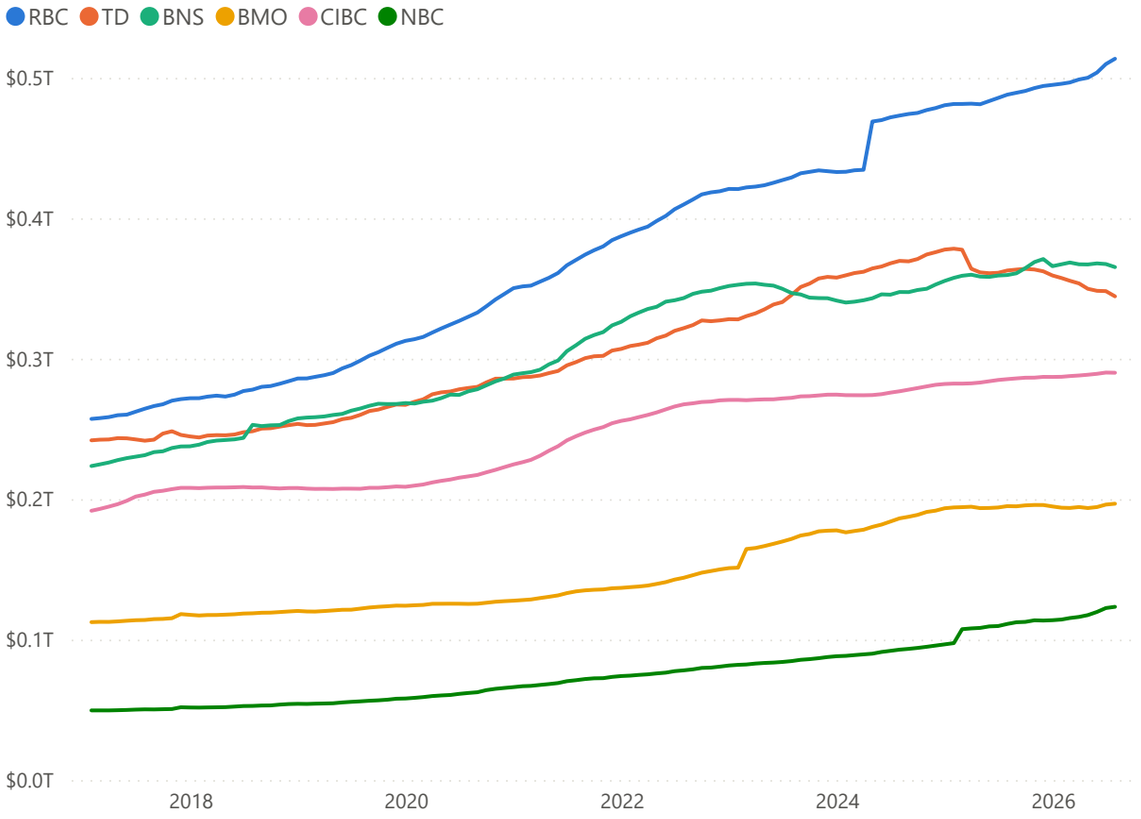
Bank

All

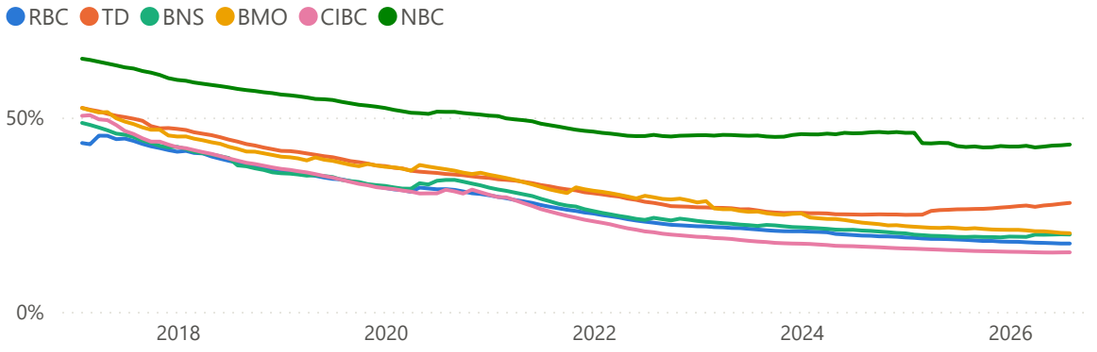
$1.83T	1.7%	1.7%	21.6%	10.9%
Residential mortgages	Growth, year over year	Organic growth (excl. acquisitions)	Insured share	Foreign-currency share

Month ended Jul 31, 2026

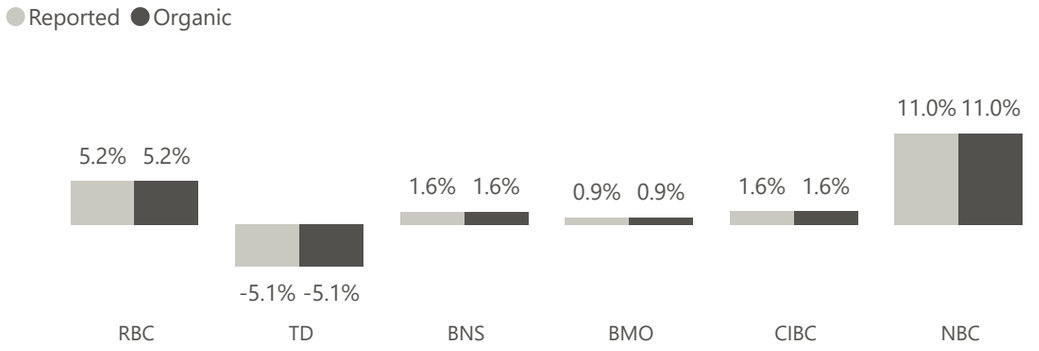
Residential mortgage balances by bank, monthly



Insured share of residential mortgages



Year-over-year growth, latest month: reported vs. organic

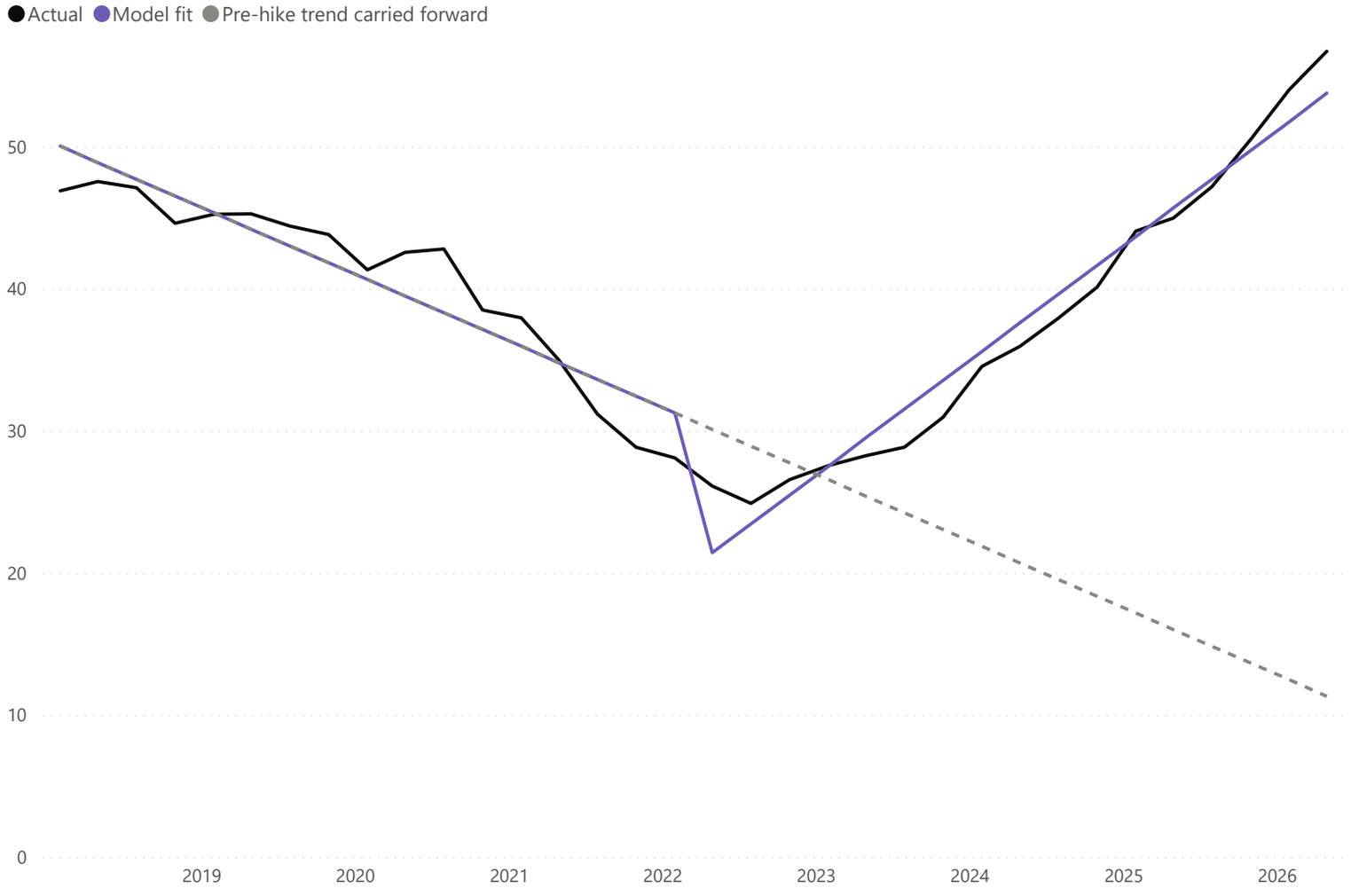


Did impaired mortgages turn when rates rose?

Interrupted time-series model of the Big Six Stage 3 share, fitted in Python (statsmodels).

Big Six Stage 3 share of residential mortgages, basis points

Break at the first quarter after the March 2022 hike (April 2022)



How to read it

Before the hikes, the Stage 3 share was drifting down about 1.2 bp a quarter. From April 2022 the trend turned up to about 2.0 bp a quarter: a change of +3.2 bp a quarter ($p < 0.001$).
Bank-level panel with bank fixed effects: +3.6 bp a quarter ($p < 0.001$, Driscoll-Kraay standard errors).
Robust to moving the break to Jul 2022, Oct 2022 or Jan 2023 and to dropping the pandemic quarters: the trend change stays between +3.7 and +4.0 bp a quarter.

What it does not show

Timing, not cause. Unemployment, home prices and the pandemic payment deferrals moved at the same time. Residuals are autocorrelated, so the standard errors are HAC-adjusted; the full diagnostics are in the notebook.

Data quality and reconciliation

Checks run in PostgreSQL on every rebuild. E3 (gross, quarterly) is reconciled to M4 (net, monthly) at each quarter-end.

22	5	9	8
Checks run	Passed	Issue found and handled	Warning or open item

Automated checks, worst status first

ID	Area	Check	Status	Metric	Action
DQ08-TD	Reconciliation	E3 vs M4 residential mortgages: TD	Open	gap -9.09% to 0.00% of E3 net	All ratios use E3 for both numerator and denominator, so they are internally consistent; TD's balances are not compared across returns.
DQ08-RBC	Reconciliation	E3 vs M4 residential mortgages: RBC	Warning	gap -0.29% to -0.06% of E3 net	None needed.
DQ09	Consistency	Uninsured exposure never exceeds total exposure	Warning	4 violations in 713 bank-quarter-stages	Kept as reported and flagged; derived insured figures for these bank-quarters are negative and are not interpreted.
DQ10	Validity	Negative Stage 3 allowances	Warning	24 bank-quarters (NBC, fiscal 2018 to 2023)	Values are kept as reported. NBC's Stage 3 coverage is not used in peer comparisons for those years.
DQ13	Comparability	Summing banks double-counts bank-owned subsidiaries	Warning	overstatement 0.71% to 1.30% of total domestic assets; 1 month(s) not fully explained	This project compares the Big Six bank by bank and never sums institutions; OSFI's List of Bank Subsidiaries would resolve the remaining month.
DQ14	Comparability	Large one-quarter Stage 2 swings	Warning	21 bank-quarters where Stage 2 exposure moved more than 40% in one quarter	Peer comparisons lean on Stage 3 (credit-impaired), which follows a common 90-days-past-due backstop. Stage 2 is shown per bank, over time.
DQ16	Comparability	Returns are consolidated, including foreign mortgages	Warning	foreign-currency share of residential	Cross-bank differences in coverage are read with each bank's foreign share in mind

Reconciliation gap: E3 net minus M4, % of E3 net

Near zero means the two returns agree. TD carries a standing gap (open item).

